

INTEREST RATES

This is part of interest rate swap derivatives. One party here agrees to pay a **fixed interest rate in exchange for the variable interest rate** (LIBOR i.e., London Interbank Offer Rate + x%, x is constant here and LIBOR is variable).



THESE ARE USED BY MUCH LARGER CORPORATIONS OR FINANCIAL INSTITUTIONS, AND BANKS.

INDICES

Indices are a collection of stocks that represent the complete set of stocks. Some indices namely are **Sensex, NIFTY 50, Sensex small cap, etc.**

